China Tanker Shipping

China delays, not derails, the bull case

Infrastructure, Industrials & Transport

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We reiterate our Overweight rating on Cosco Shipping Energy (CSET) H/A and continue to recommend buying on dips. CSET H/A shares corrected 14%/13% this week, underperforming the HSI (+3%) and CSI 300 (-1%), as VLCC freight continued to normalize following the reopening of the Strait of Hormuz. While rates have pulled back from recent peaks, they remain well above historical averages and total tanker traffic has recovered to only 44% of pre-conflict levels (10-day moving average), suggesting physical market normalization remains incomplete. We believe the recent freight correction reflects a temporary mismatch between recovering Gulf exports and Chinese crude demand rather than a deterioration in tanker fundamentals. The JPM Commodities research team highlights this as the key near-term debate, but its base case still expects Chinese crude imports to recover through 2H26. We therefore remain constructive on the medium-term tanker outlook while monitoring the pace of China's demand recovery.

- **Freight rates continue to normalize but remain historically elevated:** VLCC rates softened further this week, with TD3C (Hormuz–China) declining 32% WoW to US$285k/day and TD2 (Hormuz–Singapore) falling 42% WoW to US$315k/day. Atlantic Basin routes also moderated, with TD15 (West Africa–China) easing 27% WoW to US$129k/day and TD22 (US Gulf–China) by 22% to US$118k/day. **Despite the correction, all major VLCC routes remain 1.7-7x above pre-conflict and medium-term historical averages (since 2024), indicating freight markets remain fundamentally healthy.**
- **Hormuz reopening remains gradual:** Total tanker transits through the Strait of Hormuz have recovered to 44% of pre-conflict levels (in terms of barrel capacity) based on the 10-day moving average, with crude tanker transits reaching 48% and product tanker transits 26%. While vessel movements continue to improve, traffic remains well below historical levels, suggesting Gulf export logistics are still normalizing and additional shipping capacity has yet to fully return.
- **China has become the key freight debate:** JPM's Commodities research team argues that China absorbed much of the conflict's supply disruption by reducing crude imports and drawing inventories. As Hormuz reopens and Gulf exports recover, returning barrels are temporarily outpacing Chinese demand, creating a near-term surplus that may explain why both crude prices and tanker freight have softened more quickly than expected. However, the team still expects Chinese imports to gradually recover through 2H26 as lower Middle East official selling prices, improving refinery margins, and strategic petroleum reserve replenishment support incremental buying.
- **Our view remains constructive:** We believe the current freight weakness reflects a timing mismatch rather than a structural deterioration in tanker fundamentals. The key catalyst from here should be a recovery in Chinese crude imports, which is likely to coincide with a further normalization of Gulf exports. As inventories are rebuilt and seaborne crude trade gradually recovers, we expect freight to remain structurally above historical averages despite near-term volatility.

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- **Key risks:** A more prolonged slowdown in Chinese crude imports or weaker-than-expected refinery runs could delay the recovery in VLCC freight despite improving Gulf exports. Conversely, faster strategic petroleum reserve purchases, stronger Chinese refinery demand, or a quicker rebound in crude imports would support both freight rates and tanker equities.

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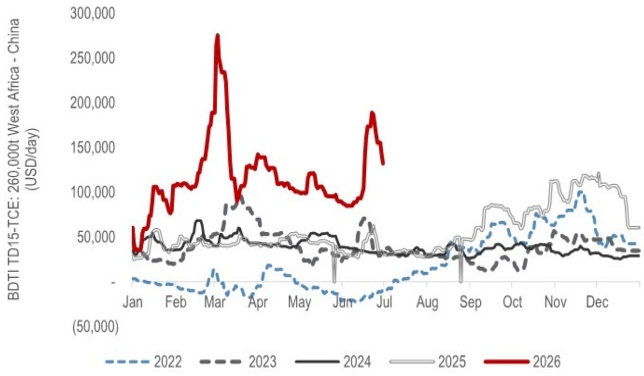
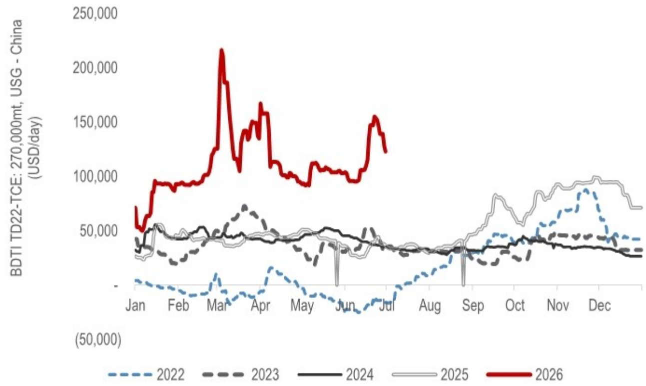
Figure 1: VLCC spot earnings: BDTI TD15-TCE: 260,000t West Africa – China, $/day



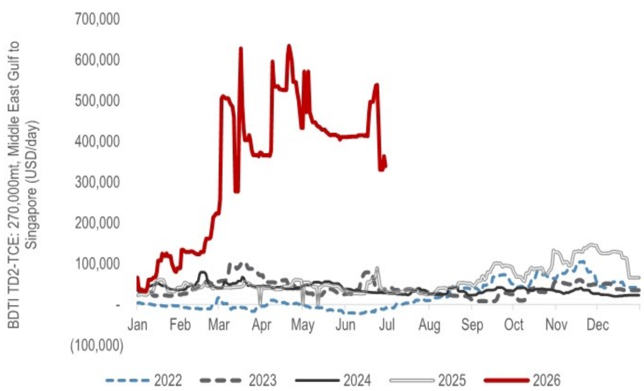
Source: Clarksons Research

Figure 2: VLCC spot earnings: BDTI TD22-TCE: 270,000mt, USG – China, $/day



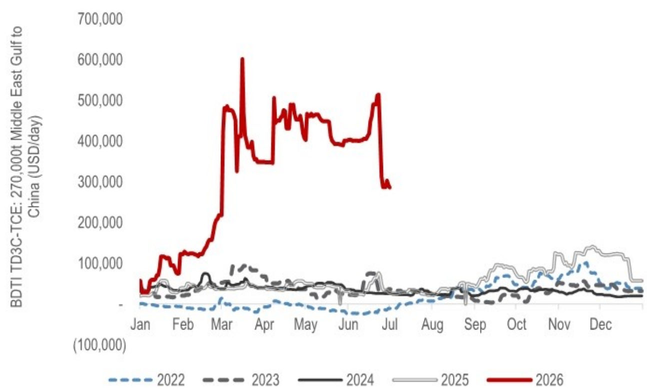
Source: Clarksons Research

Figure 3: VLCC spot earnings, BDTI TD2-TCE: 270,000mt, Middle East Gulf to Singapore, $/day



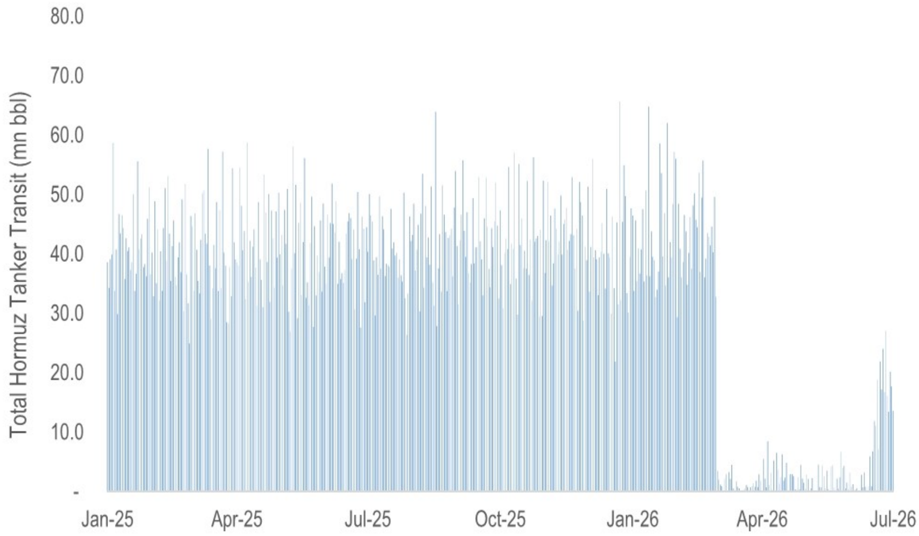
Source: Clarksons Research

Figure 4: VLCC spot earnings: BDTI TD3C-TCE: 270,000t Middle East Gulf to China, $/day



Source: Clarksons Research

Figure 5: Hormuz oil (crude+product) tanker transits continue gradual recovery



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- China Tanker Shipping: What to make of the YTD tanker TCE and equity frenzy? And will India and China revert to old habits? (24 Feb 2026)
- China Tanker Shipping: Iran conflict: ~50% of seaborne oil exposed – immediate tanker tightening, duration decides outcome (2 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): Takeaways from fireside chat (27 February): Sinokor, sanctions and Iran (3 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): Black swans compound: Iran, compliant tightening and market consolidation reset VLCC earnings power; lift CSET-H/A PTs and upgrade CSET-A to OW (3 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor — Week 1.0: Freight explodes as oil flows pause (10 Mar 2026)
- China Tanker Shipping: Expert call takeaways: Hormuz disruption – tighter fleet, longer voyages, slower normalization (11 Mar 2026)
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- COSCO Shipping Energy Transport (1138.HK/600026.SH): 4Q25 earnings miss on impairments; core in-line as Hormuz-driven earnings upside remains intact (27 Mar 2026)
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- China Tanker Shipping: Ceasefire is a reprieve, not a resolution — tanker shipping upside persists across scenarios, magnitude vs base case varies (8 Apr 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 6: Too eventful for Easter — from ceasefire to blockade in one week (13 Apr 2026)
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- China Tanker Shipping: Hormuz disruption monitor - week 11: CSET recovers as shadow fleet risks build (19 May 2026)
- China Tanker Shipping: Global China Summit Takeaways: CMES sees post-Hormuz-reopening VLCC TCE at US$130-150k/day (21 May 2026)
- China Tanker Shipping: Hormuz reopening back on the table; time to revisit CSET (15 June 2026)

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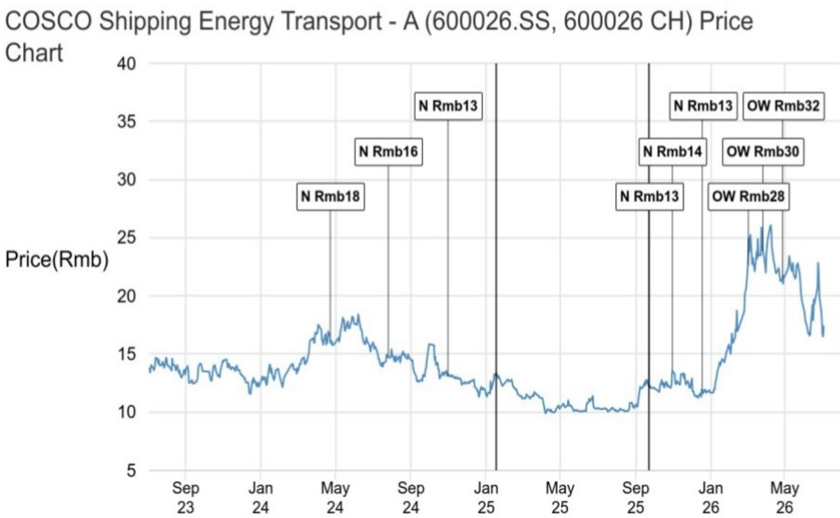

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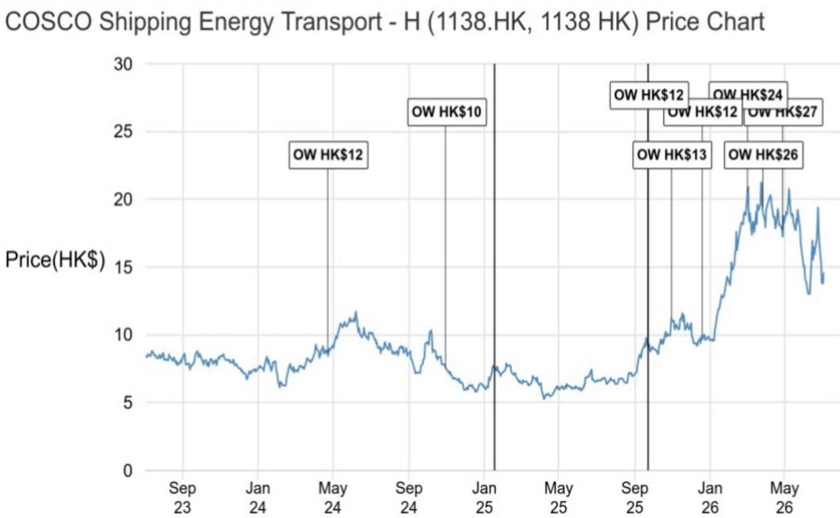
Initiated coverage Apr 23, 2024. All share prices are as of market close on the previous business day.
Break in coverage Jan 17, 2025 - Sep 22, 2025.

Date	Rating	Price (Rmb)	Price Target (Rmb)
23-Apr-24	N	16.51	18
26-Jul-24	N	14.76	16
31-Oct-24	N	13.19	13
23-Sep-25	N	12.23	13
31-Oct-25	N	13.53	14
19-Dec-25	N	11.85	13
03-Mar-26	OW	22.64	28
27-Mar-26	OW	23.90	30
28-Apr-26	OW	21.50	32



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Break in coverage Jan 17, 2025 - Sep 22, 2025.

Date	Rating	Price (HK$)	Price Target (HK$)
23-Apr-24	OW	8.70	12
31-Oct-24	OW	7.57	10
23-Sep-25	OW	9.20	12
31-Oct-25	OW	11.22	13
19-Dec-25	OW	9.92	12
03-Mar-26	OW	20.50	24
27-Mar-26	OW	19.42	26
28-Apr-26	OW	17.73	27

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